GOVERNMENT OF GOA

REPORT

ON

SERVICE SECTOR ENTERPRISE

(Excluding trade)

IN GOA

NATIONAL SAMPLE SURVEY
63rd ROUND
(July 2006 – June 2007)
State Sample

DIRECTORATE OF PLANNING, STATISTICS & EVALUATION , PANAJI – GOA.

PREFACE

The National Sample Survey Organization (NSSO) Government of India, undertakes annual surveys on various socio economic aspects in the economy. The 63rd round of NSS was held during the period July 2006 to June 2007. The subjects covered in the survey are Service sector enterprise (Excluding Trade) and consumer expenditure.

This report gives findings in respect of Service sector enterprise (Excluding Trade) based on state sample. It is presumed that report will be highly useful to researchers, planners and Policy makers etc.

This Directorate is extremely thankful to the NSSO, Government of India, New Delhi for providing guidance and conduct of survey. Thanks are also due to Data Processing Centre, Kolkata for providing the software's for data entry, validation & tabulation of data. Thanks are also due to the NIC, Goa state unit, especially Shri Ramnathan, System Analyst for providing excellent technical support in validating the data & generation of tables.

The excellent efforts put in by the officers & staff of NSS division of this Directorate in the field work, data entry, validation, generation of tables & report writing is highly appreciated. Readers are requested to give constructive suggestions if any, for improving the report in future.

Place : Panaji *(Anand Sherkhane)*
Date :06/01/2011 *DIRECTOR*

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Chapter One

Introduction and Survey Design

Introduction

The National Sample Survey Organization (NSSO), Government of India collects socio-economic data employing scientific sampling methods on various subjects and parameters through its annual rounds. The survey is conducted separately by the Central Government for central sample and by the State Government for state sample. In case of Goa the survey in respect of State Sample is conducted by the National Sample Survey Division in the Directorate of Planning, Statistics and Evaluation. This report pertains to the 63rd round of National Sample Survey (NSS) conducted in Goa during the period July 2006 to June 2007.

Subject Coverage

The 63rd round (July 2006 - June 2007) of NSS was earmarked for collection of data on economic and operational characteristics of enterprises in service sector (excluding trade) and also on household Consumer expenditure. All service sector enterprises, which were not covered under the Annual Survey of Industries (ASI), were under coverage of the survey. Government and public sector undertakings were not under survey coverage.

Last survey of service sector enterprises was conducted in the 57th round of NSS during July 2001 to June 2002. The 63rd round was basically a repetition of the 57th round survey in terms of concepts and definitions. However, financial sector has been included in the coverage of 63rd round.

The NIC codes (NIC-2004) and descriptions of the service enterprises under the coverage of the survey are given below.

NIC-2004		Coverage of Survey
code	activity	
55	HOTELS AND RESTAURANTS	**A hotel is an enterprise that provides lodging services with or without arrangements for meals, other prepared food and refreshments**. Dharamshala type lodging places, private guest/rest houses, tourist lodges etc. which provide short-stay accommodation are to be covered under hotels *provided they are run by private individuals/organszations*. *However similar facilities if provided by Govt./PSU/Local body/Statutory bodies (e.g. ISI, IIT, Universities etc.) are excluded from the purview of the coverage of this survey.* **A restaurant generally provides eating and drinking services where prepared meals, food and refreshments and other snacks are sold for immediate consumption without any provision for lodging.** Such enterprises are variously known as restaurants, cafes, cafeteria, snack bars, lunch counters, refreshment stands, milk bar canteens, etc. Bars and other drinking places will also be treated as restaurants. Canteens located in *Chapter One Introduction: Concepts, Definitions and Procedures Instructions* A-2 *to Field Staff, Vol. I: NSS 63rd Round* offices, factories, etc. will be treated as restaurants if they are operated by private contractors. *But departmental canteens run by government will be excluded.*
602	OTHER LAND TRANSPORT	All types of passenger transport by land (excluding railway) and freight/ goods transport by road will be covered.
61	WATER TRANSPORT	All kinds of water transport will be covered
63	SUPPORTING AND AUXILLIARY TRANSPORT ACTIVITIES; ACTIVITIES OF TRAVEL AGENCIES	Activity of cargo handling, storage and warehousing, supporting services to land transport like operation of railway stations, bus stations, highway bridges, toll roads, vehicular tunnels; parking lots and left luggage facilities at the railway stations, bus stations, traffic control activities, supporting services to water transport such as operation and maintenance of piers, docks, pilotage, loading and unloading of vessels, supporting services to water transport such as operation and maintenance of piers, docks, pilotage, and loading and unloading of vessels, activity of travel agency and tour operators, activities of other transport agency, supporting services incidental to transport such as packing, freighting, travel agency etc. will be covered.
64	POST AND TELECOMMUNICATIONS	**All enterprises providing communication services, *not owned by government, Public Sector undertakings and local bodies* will be covered**.

		This will include courier services, ISD/STD/ PCO booths, voice mail services through computer networking, video/fax services, phone plus services, voiced and non-voiced leased circuits, telex/FAX/data services through computer network, radio paging, e-mail, video conferencing, internet, audio services and activity of cable operators etc.
659	OTHER FINANCIAL INTERMEDIATION. [This group includes Financial intermediation other than that conducted by monetary institutions.]	**Monetary intermediation for example banking etc. is excluded from coverage.** Activities of hire - purchase financing, housing finance companies, commercial loan companies, other credit activities including pawn shops, other financial intermediation, Mutual Funds, Chit fund / Kuri companies, Investment Companies, Money lending from own source will be considered as an enterprise with separate NIC code (65925). Self-help groups and co-operative credit societies will also be given separate NIC codes 65994 and 65995 respectively.
66	INSURANCE AND PENSION FUNDING, EXCEPT COMPULSORY SOCIAL SECURITY	Life insurance [this class includes life insurance (including reinsurance) and other long-term insurance, with or without a substantial saving element, including the collection and Investment of funds], pension funding [this class includes the provision of retirement incomes, including activities involving the collection and investment of funds (Funding and administration of compulsory social security programmes are classified in class 7530)], and non-life insurance will be covered.
67	ACTIVITIES AUXILIARY TO FINANCIAL INTERMEDIATION	Administration of financial markets, security dealing activities, activities auxiliary to financial intermediation, activities of financial advisers, mortgage advisers and brokers, foreign exchange services, activities auxiliary to insurance and pension funding, activities of insurance agents, average and loss adjusters, actuaries and salvage administrators etc will be covered.
70	REAL ESTATE ACTIVITIES	It include activities like: (i) purchase, sale, letting and operating of real estate i.e. residential/non-residential buildings, (ii) developing and sub-dividing real estate into lots, (iii) lessors of real property and (iv) real estate agents, brokers and managers engaged in renting, buying and selling, managing and appraising real estate on a contract or fee basis. Renting of marriage halls, etc.will be considered as an enterprise. Operating of real estate of self owned residential buildings (NIC code 70103) will not be included.
71	RENTING OF MACHINERY AND EQUIPMENT WITHOUT OPERATOR AND OF PERSONAL AND HOUSEHOLD GOODS	Renting of transport equipment, other machinery and equipment [like agricultural machinery and equipment, construction and civil engineering machinery and equipment, office machinery and equipment (including computers)], personal and household goods (like tents, electrical appliances, furniture, video cassettes, CDs, audio cassettes and records etc., books, journals and magazines, musical instruments, bicycle, footwear etc.) will be covered.

72	COMPUTER AND RELATED ACTIVITIES	Hardware consultancy, software publishing; software consultancy, supply and maintenance; data processing, maintenance and repair of office, accounting and computing machinery, other computer related activities [for example maintenance of websites of other firms/ creation of multimedia presentations for other firms etc.] will be covered.
73	RESEARCH AND DEVELOPMENT	Research and experimental development on natural sciences and engineering, social sciences and humanities will be covered
74	OTHER BUSINESS ACTIVITIES	Legal, accounting, book-keeping and auditing activities; tax consultancy; market research and public opinion polling; business and management consultancy, architectural, engineering and other technical activities, advertising, labour recruitment and provision of personnel, investigation and security activities, building-cleaning and industrial cleaning activities, photographic activities, packaging activities, Photostat, blue-printing, Xeroxing, copying of documents, ammonia printing, fashion design related to textiles, wearing apparel, shoes, jewelry, furniture, Interior decoration, secretarial activities such as telephone answering, stenographic, duplicating & mailing etc. will be covered
80	EDUCATION	**All Govt. or Govt.- aided educational institutions will be outside the survey coverage**. **Educational institutions where salaries of the teachers/ staffs are funded fully by the Government will be considered as Govt. aided educational institution.** All private educational institutions will be covered whether or not recognised. This will include management training institutes, computer training centres, nursing schools, schools of music, drama, dance, fine arts, modelling, fashion designing, yoga and physical education and general coaching centres (e.g. for various competitive examinations) etc. are to be covered. This will also include adult education centers.
85	HEALTH AND SOCIAL WORK	**All enterprises engaged in health and medical services *other than those owned by government, public sector undertakings, local bodies* will be covered, irrespective of the system of medicine.** Hospital activities including those of general and specialized hospitals, sanatoria, asylums, rehabilitation centres, dental centres, nursing homes and other health institutions having accommodation facilities, nurses, physiotherapist etc., independent diagnostic/pathological laboratories, independent blood banks, ambulance services etc. will be covered. All private dispensaries, clinics and consultation chambers run by doctors will be covered. An employed doctor and para-medical person (such as midwife, dai etc.) doing private practice will be covered and his/her private practice alone will be considered as an enterprise. The survey will also cover activities of veterinary activities including bird hospitals under NIC code 852. Social work with accommodation such as activities of orphanages, children boarding homes and hostels, residential

		nurseries, homes for aged, physically or mentally handicapped persons will be covered under NIC code 8531. Social work without accommodation involving variety of social counseling, welfare, refugee, referral and similar services to individuals and families in their homes or elsewhere (e.g. day care centers for children, handicapped etc.) will be covered under NIC code 8532
90	SEWAGE AND REFUSE DISPOSAL, SANITATION AND SIMILAR ACTIVITIES	Garbage collection, transportation and disposal, removal of human wastes and their treatment and disposal, including maintenance of sewers and drains, outdoor sweeping and watering of streets etc. will be covered.
9191	ACTIVITIES OF RELIGIOUS ORGANISATIONS	Individuals who provide services directly to worshippers will only be covered.
9199	ACTIVITIES OF OTHER MEMBERSHIP ORGANISATIONS N.E.C.	Includes rotary clubs, student associations, war veterans' associations, book clubs, philatelic clubs, associations of minority groups, and the activities of other similar associations / organisations.
92	RECREATIONAL, CULTURAL AND SPORTING ACTIVITIES	Motion picture, radio, television and other entertainment activities; news agency activities; library, archives, museums and other cultural activities; sporting and other recreational activities will be covered.
93	OTHER SERVICE ACTIVITIES	Persons providing services to the households, for example cooks, tutors, etc., by visiting the houses of the employer (service consuming households) will not be considered as self-employed. However, if some persons provide legal, accounting or similar services to different enterprises on a fee basis, they will be treated as running own account enterprise.

Period of survey and work programme

The period of survey will be of one year duration starting on 1st July 2006 and ending on 30th June 2007. The survey period of this round will be divided into four sub-rounds of three months duration each as follows:

sub-round 1 : July - September 2006

sub-round 2 : October - December 2006

sub-round 3 : January - March 2007

sub-round 4 : April - June 2007

Schedules of enquiry

The he following schedules of enquiry were canvassed:

Schedule 0.0 : list of households and non-agricultural enterprises

Schedule 2.345 : service sector enterprises (excluding trade)

Schedule 1.0 : consumer expenditure

State Sample size

The villages in rural areas and UFS blocks in urban areas included in the sample are called as First Stage Units (FSU). The size of State sample for Goa was 60 FSUs comprising 24 FSUs in rural and 36 FSUs in urban areas. In each of the four sub-rounds, equal number of sample villages/blocks (FSUs) were allotted for survey with a view to ensuring uniform spread of sample FSUs over the entire survey period.

Data Presented in this Report

This report pertains to Service Sector Enterprises (excluding trade) based on State Sample. It gives estimates of service sector enterprises in the State, both own account enterprises and establishments and their important characteristics.

Chapter Two

Survey Procedure

Sample design

A stratified multi-stage sampling procedure was adopted in the 62nd Round survey. The first-state units (FSU) were the 2001 census villages in the rural sector and Urban Frame Survey Blocks in the urban sector. The ultimate stage units in both sectors, were households. In the case of large villages/blocks, hamlet groups (hg)/ sub-blocks (sb) were formed.

Sampling Frame for First Stage Units

For the rural sector the list of 2001 census villages constituted the sampling frame. For the urban sector, the list of latest available Urban Frame Survey (UFS) blocks was considered as sampling frame.

Selection of hamlet-groups/ sub-blocks/ households/ enterprises - important steps

(i) Proper identification of the FSU boundaries

The first task of the field investigators was to ascertain the exact boundaries of the sample FSU as per its identification particulars given in the sample list. For urban samples with UFS blocks, the boundaries of each Urban Frame Survey (UFS) block was identified by referring to the map corresponding to the frame code specified in the sample list.

(ii) Formation of segment 9

Having determined the boundaries of the sample FSU, all non-agricultural enterprises having 50 or more workers in the entire FSU and having operated at least one day during last 365 days preceding the day of survey (hereinafter to be called as big enterprises for brevity) were listed and all the eligible units under coverage were surveyed. All the listed big units (whether under coverage or not) constituted segment 9. All eligible enterprises under coverage were surveyed in segment 9.

(iii) Criterion for hamlet-group/ sub-block formation

Having constituted segment 9 as stated above, the next step was formation of 'hamelet-groups in rural areas and sub-blocks in urban areas. For this, approximate present population (P) and approximate total number of on agricultural enterprises (E) for the whole FSU was ascertained first from knowledgeable persons. Depending upon the values of 'P' and 'E', it was divided into a suitable number (say, D) of 'hamlet-groups' in the rural sector and 'sub-blocks' in the urban sector as stated below.

population (P)	no. of hgs/ sbs to be formed	no. of non-agricultural enterprises (E)	no. of hgs/ sbs to be formed
less than 1200	1	less than 120	1
1200 – 1599	4	120 - 159	4
1600 – 1999	5	160 – 199	5
2000 - 2399	6	200 - 239	6
and so on	…	and so on	…

However, while considering enterprise criteria, segment 9 enterprises, were excluded i.e. the value of 'E' above were adjusted in respect of the number of enterprises in segment 9.

(iv) Formation of hamlet-groups/ sub-blocks

Hamlet-groups/ sub-blocks were formed in the sample FSU by more or less equalizing population ensuring that the hamlet-groups/ sub-blocks formed were clearly identifiable in terms of physical landmarks.

Listing of households/ enterprises

Having determined the area(s) to be considered for listing, the next step was to list all the households and non- agricultural enterprises (NAEs).

Formation of Second Stage Strata and allocation of households for schedule 1.0:

For rural sector in each selected village/ segments, three second stage strata (SSS) namely SSS 1, SSS 2 & SSS 3 were formed. Households with any member who worked for at least one day in any public works scheme of Government during last 365 days constituted SSS 1.

Out of the remaining households SSS 2 and SSS 3 were formed on the basis of land possessed by household.

A cut-off point 'X' (in hectares) was determined at State/UT level from NSS 59th round data in such a way that top 20% of the rural households possessed land equal to or more than X. Out of the remaining (other than SSS 1) households all the listed households possessing land less than X constituted SSS 2 and the rest of the households constituted SSS 3.

For urban sector in each selected block/ segments, two second stage strata (SSS) namely SSS 2 & SSS 3 (there is no SSS 1 for urban sector) were formed on the basis of household MPCE. In the urban sector, a cut-off point 'A' (in Rs.) was determined at NSS state-region level from NSS 61st round data in such a way that top 20% of the households had MPCE equal to or more than 'A'. All the listed households with MPCE less than 'A' constituted SSS 2 while the rest of the households constituted SSS 3.

The number of households to be surveyed for schedules 1.0 is 6 in a rural FSU and 4 households in an urban FSU.

Composition of SSS with number of households surveyed for schedule 1.0 was as follows.

SSS	composition of SSS	number of households to be surveyed for schedule 1.0	
		without hg/ sb formation	with hg/ sb formation (for each segment)
rural			
SSS 1:	households with at least one member who worked for at least one day in any public works scheme during last 365 days.	2	1
SSS 2:	Of the remaining hhs.; households with land possessed < X	2	1
SSS3	other households	2	1
urban			
SSS 2:	households with MPCE < A	2	1
SSS 3:	other households	2	1

Selection of households for Schedules 1.0

From each SSS the sample households for schedule 1.0 were selected by SRSWOR.

Shortfall of households to be compensated: For schedule 1.0, shortfall of households in the frame of any particular SSS was compensated from the same SSS of the other segment or from the other SSS of the same or other segment where additional household(s) are available. The procedure adopted was follows:

step 1: Allocate the required number of households to each SSS wherever possible and identify the SSS having shortfall.

step 2: In case of hg/ sb formation, compensate from the same SSS of the other segment if available for all the SSS having shortfall. If the shortfall still remains identify the SSS having shortfall and go to Step 3.

step 3: Find the SSS where additional households are available following the priority order of SSS 1, SSS 2, & SSS 3 and compensate.

The above steps for compensation are presented in the following table.

for rural:

SSS having shortfall (Schedule 1.0)	priority order of SSS for compensation
1	2, 3
2	1, 3
3	1, 2

If there is hg/ sb formation, for each SSS as per priority order, compensation was made from the segment where shortfall occurs, failing which from other segment and so on.

For **urban** the same procedure was adopted except that choice was limited to SSS 2 and SSS 3 only.

Chapter Three

Concepts & Definitions

Important concepts and definitions used in different schedules of this survey are explained below.

Economic activity: The entire spectrum of human activity falls into two categories: economic activity and non-economic activity. Any activity that results in production of goods and services that adds value to national product is considered as an economic activity. The economic activities have two parts - market activities and non-market activities. Market activities are those that involve remuneration to those who perform it, i.e., activity performed for pay or profit. Such activities include production of all goods and services for market including those of government services, etc. Non-market activities are those involving the production of primary commodities for own consumption and own account production of fixed assets.

Production of any good for own consumption is considered as economic activity by UN System of National Accounts but production of only primary goods is considered as economic activity by NSSO. While the former includes activities like own account processing of primary products among other things, in the NSS surveys, processing of primary products for own consumption is not considered as economic activity, However, it may be noted that 'production of agricultural goods for own consumption' covers all activities up to and including stages of thrashing and storing of produce, for own consumption, comes under the coverage of the economic activities of NSSO.

The term 'economic activity' will thus include:

(i) all the market activities described above, i.e., the activities performed for pay or profit which result in production of goods and services for exchange,

(ii) of the non-market activities,

(a) all the activities relating to the primary sector (i.e. **industry Divisions 01 to 14 of NIC-2004**) which result in production (including free collection of uncultivated crops, forestry, firewood, hunting, fishing, mining, quarrying, etc.) of primary goods, including thrashing and storing of grains for own consumption

and

(b) the activities relating to the own-account production of fixed assets. Own account production of fixed assets includes construction of own houses, roads, wells, etc., and of machinery, tools, etc., for household enterprise and also construction of any private or community facilities free of charge. A person may be engaged in own account construction in the capacity of either a labour or a supervisor.

It is to be noted that as in earlier rounds, the activities like prostitution, begging, etc., which may result in earnings, by convention, were be considered as economic activities. In earlier rounds, activities under 'smuggling' were kept outside the economic activity. In the field, probing is perhaps not extended to see whether the production of goods and services is carried out in the form of smuggling. Thus, in practice, production of goods and services in the form of smuggling has actually been considered as economic activity in NSS surveys. In view of this, activity of a person may be judged irrespective of the situation whether such activity is carried out illegally in the form of smuggling or not.

The various constituents of 'workers', are explained below:

(a) **Workers (or employed):** Persons who are engaged in any economic activity or who, despite their attachment to economic activity, have abstained from work for reasons of illness, injury or other physical disability, bad weather, festivals, social or religious functions or other contingencies necessitating temporary absence from work constitute workers Unpaid helpers who assist in the operation of an economic activity in the household farm or Non-farm activities are also considered as workers.

It may be noted that workers are further categorized as self-employed, regular salaried/ wage employee and casual wage labour. These categories are defined in the following paragraphs.

Self-employed: Persons who operate their own farm or non-farm enterprises or are engaged independently in a profession or trade on own-account or with one or a few partners are self-

employed in household enterprises. The essential feature of the self-employed is that they have *autonomy* (i.e., regarding how, where and when to produce) and *economic independence* (i.e., regarding market, scale of operation and money) for carrying out operation. The fee or remuneration received by them consists of two parts - the share of their labour and profit of the enterprise. In other words, their remuneration is determined wholly or mainly by sales or profits of the goods or services which are produced**.**

The self-employed persons may again be categorised into the following three groups:

(i) **own-account workers:** They are the self-employed who operate their enterprises on their own account or with one or a few partners and who during the reference period by and large, run their enterprise without hiring any labour. They may, however, have unpaid helpers to assist them in the activity of the enterprise.

(ii) **employers:** The self-employed persons who work on their own account or with one or a few partners and by and large run their enterprise by hiring labour are the employers, and

(iii) **helpers in household enterprise:** The helpers are a category of self-employed persons mostly family members who keep themselves engaged in their household enterprises, working full or part time and do not receive any regular salary or wages in return for the work performed. They do not run the household enterprise on their own but assist the related person living in the same household in running the household enterprise.

There is a category of workers who work at a place of their choice which is outside the establishment that employs them or buys their product. Different expressions like 'home workers', 'home based workers' and 'out workers' are synonymously used for such workers For the purpose of this survey, all such workers will be commonly termed as 'home workers' and will be categorised as 'self-employed'. The 'home workers' have *some degree of autonomy* and *economic independence* in carrying out the work, and their work is not directly supervised as is the case for the *employees.* Like the other self-employed, these workers have to meet certain costs, like actual or imputed rent on the buildings in which they work, costs incurred for heating, lighting and power, storage or transportation, etc., thereby indicating that they have some tangible or intangible means of production. It may be noted that *employees* are not required to provide such inputs for production.

It may further be elaborated that the 'putting out' system prevalent in the production process in which a part of production which is 'put out' is performed in different household enterprises (and not at the employers establishment). For example, *bidi* rollers obtaining orders from a bidi manufacturer will be considered as home workers irrespective of whether or not they were supplied raw material (leaves, *masala*, etc.), equipment (scissors) and other means of production. The fee or remuneration received consists of two parts - the share of their labour and profit of the enterprise. In some cases, the payment may be based on piece rate. Similarly, a woman engaged in tailoring or embroidery work on order from a wholesaler, or making *pappad* on order from some particular unit/ contractor/ trader at her home will be treated as 'home worker'. On the other hand, if she does the work in the employers premises, she will be treated as *employee*. Again, if she is not undertaking these activities on orders from outside, but markets the products by herself/ other household members for profit, she will be considered as an own account worker, if of course, she does not employ any hired help more or less on a regular basis.

E**mployee:** Persons working in others farm or non-farm enterprises (both household and non-household) and getting in return salary or wages are the employees.

Rural Labour: Manual labour working in agricultural and /or non-agricultural occupations *in return for wages* paid either in cash or in kind (excluding exchange labour) and *living in rural areas*, will be taken as rural labour.

Agricultural labour: A person will be considered to be engaged as agricultural labour, if he/she follows one or more of the following agricultural occupations in the capacity of a wage paid manual labour, whether paid in cash or kind or both:

(i) farming
(ii) dairy farming
(iii) production of any horticultural commodity
(iv) raising of livestock, bees or poultry
(v) any practice performed on a farm as incidental to or in conjunction with farm operations (including forestry and timbering) and the preparation for market and delivery to storage or to market or to carriage for transportation to market of farm produce.

Working in fisheries is excluded from agricultural labour. Further, 'carriage for transportation' refers **only to the first stage of the transport** from farm to the first place of disposal.

Household principal industry and occupation: To determine the household principal industry and occupation, the general procedure to be followed is to list all the occupations pertaining to economic activities pursued by the members of the household excluding those employed by the household and paying guests (who in view of their staying and taking food in the household are considered as its normal members) during the one year period preceding the date of survey, no matter whether such occupations are pursued by the members in their principal or subsidiary (on the basis of earnings) capacity. Out of the occupations listed that one which fetched the maximum earnings to the household during the last 365 days preceding the date of survey would be considered as the principal household occupation. It is quite possible that one or more members of the household may pursue the household occupation in different industries. In such cases, the particular industry out of all the different industries corresponding to the principal occupation, which fetched the maximum earnings, should be considered as the principal industry of the household. In extreme cases, the earnings may be equal in two different occupations or industry-occupation combinations. By convention, in such cases, priority will be given to the occupation or industry-occupation combination of the senior-most member.

Public works: 'Public works' are those activities which are sponsored by Government or Local Bodies, and which cover local area development works like construction of roads, dams, bunds, digging of ponds, etc., as relief measures, or as an outcome of employment generation schemes under the poverty alleviation programme such as Employment Guarantee Scheme (EGS), Sampoorna Grameen Rozgar Yojana (SGRY), National Food for Work Programme (NFFWP), etc. Although Indira Awaas Yojana (IAY) was considered as public works in the 62nd round, it has been excluded from the coverage of public works in this round as it does not generate wage employment.

The coverage of schemes under 'public works' is restricted to those schemes through which the Government generates wage employment under poverty alleviation programme, or relief measures. It may be noted that the names of these schemes signify the Budget Heads under Plan from which funds are released for carrying out various 'types of works'. The types of

works that are generally under taken through these schemes, are watershed development, drought proofing, land levelling, flood control, laying pipes or cables, sanitation, water harvesting, irrigation canal, development of orchard, road construction, building construction / repair, running crèche, etc.

There may be some schemes sponsored by the Government and in operation, which are conceived as self-employment generation. Some such schemes of the Government are Swarnjayanti Gram Swarozgar Yojana (schemes under erstwhile IRDP merged with this), Rural Employment Generation Programme (REGP), Prime Minister's Rozgar Yojana (PMRY), Valmiki Ambedkar Awas Yojana (VAMBAY), etc. Employment generated through these schemes is not to be considered within the purview of 'public works'.

Sometimes, the Government may undertake various programmes, viz., Accelerated Rural Water Supply Programme (ARWSP), Rural Sanitation Programme (RSP), Drought Prone Areas Programme (DPAP), Desert Development Programme (DDP), Integrated Wastelands Development Programme (IWDP), Pradhan Mantri Gram Sadak Yojana (PMGSY), etc. The main objective of such programmes is on infrastructure development rather than poverty alleviation and generation of employment. Moreover, these programmes are executed as projects through contractors. Employment generated through these programmes, which are executed through contractors, is also kept outside the domain of 'public works'. However, if similar activities relating to rural water supply, rural sanitation, desert development, wastelands development, etc. are undertaken by the State Government or Local Bodies to provide wage employment and without employing any contractor for its execution, those are to be considered under 'public works'

.

To distinguish between *'public works'* and works not classifiable as *'public works'*, some broad characteristics of '*public work'* have been identified, viz. the primary objective is generation of wage employment and poverty alleviation, and creation of community asset as an outcome in achieving those main objectives. These features of public works along with the description of some wage employment generation schemes given above will be helpful in identification of *'public works'*.

A short description of the three schemes sponsored by the Central Government, which are in operation either in rural areas or in urban areas, is given below:

1) Employment Guarantee Scheme (EGS): The National Rural Employment Guarantee Act, 2005 (NREGA) is an important step towards the realization of the right to work and to enhance the livelihood security of the households in the rural areas of the country. It extends to the whole of India except the state of Jammu & Kashmir. According to this Act, Rural Employment Guarantee Schemes (REGS) are formed by the State Governments. The Scheme provides at least one hundred days of guaranteed wage employment in every financial year to every household whose adult members volunteer to do unskilled manual work. Adult means a person who has completed his eighteen years of age. Unskilled manual work means any physical work which any adult person is capable of doing without any special skill/training. The implementing agency of the scheme may be any Department of the Central Government or a State Government, a Zila Parishad, Panchayat/ Gram Panchayat or any local authority or Government undertaking or non-governmental organization authorized by the Central Government or the State Government. If an applicant for employment under the scheme is not provided employment within 15 days of receipt of his application seeking employment or from the date on which employment has been sought, the applicant will be entitled for getting daily unemployment allowances.

2) Sampoorna Grameen Rozgar Yojana (SGRY): The primary objective of the Sampoorna Grameen Rozgar Yojana (SGRY) is to provide additional wage employment in all rural areas and thereby ensure food security and improve nutritional levels. The secondary objective is the creation of durable assets and infrastructural development in rural areas. This scheme was announced by the Prime Minister on 15.8.2001 and launched in September 2001. The schemes of Jawahar Gram Samridhi Yojana (JGSY), Employment Asurance Scheme (EAS) have been merged under this programme w.e.f. 1.4.2002. The SGRY is open to all rural poor who are in need of wage employment and desire to do manual and unskilled work in and around the village/habitat. The programme is self-targeting in nature. While providing wage employment preference is given to agricultural wage earners, nonagricultural unskilled wage earners, marginal farmers, women, members of Scheduled Castes/ Scheduled Tribes, parents of child labour withdrawn from hazardous occupations, parents of handicapped children or adults with handicapped parents. The programme is implemented through the Panchayati Raj Institutions (PRIs). Thirty percent of employment opportunities are reserved for women under the programme. Around Rs. 10,000 crore are spent on the programme every year. The programme is implemented on cost sharing ratio of 75:25 between the Centre and

the States for the cash component of the programme. However, foodgrains under the programme are provided to the States free of cost.

Five per cent of the funds and food grains under SGRY are retained in the Ministry of Rural Development for utilization in areas of acute distress arising out of natural calamities or by taking up preventive measures in the chronically drought or flood affected areas. In addition, a certain percentage of the allotted food grains under the SGRY is reserved for the Special Component to be used in any Central or State Government scheme with wage employment potential to meet exigencies arising out of any natural calamity. The remaining funds and foodgrains under SGRY are distributed among the Zila Parishad, Intermediate Panchayats and Village Panchayat in the ratio of 20:30:50.

Wages under the programme are paid partly in the form of foodgrains and partly in cash. The States and UTs are free to calculate the cost of foodgrains paid as part of wages, at a uniform rate, which may be either BPL rate or APL rate, or anywhere between the two rates. The workers are paid the balance of wages in cash so that they are assured of the notified minimum wages. Under the programme, priority is given to works of soil and moisture conservation, minor irrigation, rejuvenation of drinking water resources and augmentation of ground water, traditional water harvesting structures, desiltation of village tanks/ ponds, durable assets such as schools, kitchen sheds for schools, dispensaries, community centers, and Panchayat Ghars , Development of Haats, which are labour intensive, is also to be given priority. The size, cost and nature of the work should be such that they may be completed within a period of one year and in exceptional situations within a maximum period of two years.

3) National Food for Work Programme (NFFWP): The National Food for Work Programme (NFFWP) is being implemented in 150 most backward districts of the country from November, 2004. The objective of the programme is to provide additional resources to 150 most backward districts of the country so that generation of supplementary wage employment and provision of food security through creation of need based economic, social and community assets in these districts is further intensified. Food grains are provided to the States free of cost. Works are taken up under the programme in accordance with the Five Year Perspective Plan. The Collector is responsible for preparation of the Perspective Plan and for programme implementation.

Chapter Four

Survey Findings

1. Estimated number of enterprises and per 1000 distribution

The estimated number of enterprises and per 1000 distribution by nature of operation is given in table 1. It is evident that there were 34183 service sector enterprises in Goa comprising 16127 (47.44%) in rural areas and 17966 (52.56%) in urban areas. Of the total 22795 (66.69%) were Own Account Enterprises and 11388 (33.31%) were establishments. With in OAEs, 12122 (53.18%) were in rural areas and 10673 (46.82%) in urban areas. Similarly, within establishments 4095 (35.96%) were in rural areas and 7293 (64.04%) were in urban areas.

Table 1: Per 1000 distribution of enterprises by nature of operation

Ent. Type	Perennial	Seasonal	Casual	n.r.	All	Est. No. of Enterprises
RURAL						
OAE	956	44	0	0	1000	12122
Est.	981	19	0	0	1000	4095
Total	963	37	0	0	1000	16217
URBAN						
OAE	951	49	0	0	1000	10673
Est.	566	414	20	0	1000	7293
Total	795	197	8	0	1000	17966
GOA						
OAE	954	46	0	0	1000	22795
Est.	716	272	13	0	1000	11388
Total	874	121	4	0	1000	34183

As regards nature of operation overall 87.4% of the enterprises were perennial, 12.1% seasonal and only 0.04% were casual. However, it is important to note that the proportion of perennial enterprises was more in OAEs (95.4%) than Enterprises (71.6%). The proportion of perennial enterprises was higher in rural areas (96.3%) than urban areas (79.5%). However, within rural areas the proportion of perennial enterprises was higher in case of establishments (98.1%) than OAEs (95.6%). But the trend in urban areas was quite opposite with proportion of perennial enterprises was very high in OAEs (95.1%)

than establishments (56.6%). The highest proportion of seasonal establishment was observed in urban areas (41.4%) in establishments.

2. Distribution of enterprises by activity category

The distribution of estimated number of enterprises by activity category is given in table 2. It may be seen from the table that of the service sector is dominated by the activity category I being the highest (48.19%) followed by category H (30.88%), category K (7.77%), category O (7.39%) and the remaining categories in less than 5% bracket.

Table 2: Estimated number of Enterprises by activity category

Activity Category	RURAL			URBAN			GOA		
	OAE	Est.	Total	OAE	Est.	Total	OAE	Est.	Total
H1	0	83	83	747	1971	2718	747	2053	2800
H2	3187	740	3926	1420	2410	3831	4607	3150	7757
H	**3187**	**822**	**4009**	**2167**	**4381**	**6548**	**5354**	**5203**	**10557**
I1	0	0	0	0	0	0	0	0	0
I2	3510	2021	5531	2943	1233	4176	6452	3254	9707
I3	68	28	96	22	112	134	90	140	230
I4	2165	115	2280	4199	57	4256	6364	172	6536
I	**5743**	**2165**	**7907**	**7164**	**1402**	**8566**	**12907**	**3567**	**16473**
J1	0	64	64	10	89	99	10	154	164
J2	164	46	210	35	10	46	200	56	256
J	**164**	**111**	**275**	**46**	**99**	**145**	**210**	**210**	**420**
K	1597	297	1893	403	360	763	1999	657	2656
M	158	72	230	228	100	328	386	172	559
N	151	155	306	256	429	685	406	585	991
O	1123	473	1596	410	521	931	1532	994	2527
All	**12122**	**4095**	**16217**	**10673**	**7293**	**17966**	**22795**	**11388**	**34183**

It may also be observed from table 2 that under category I 78.35% were OAE and the balance 21.65% were establishments. However, under category H, 50.72% were OAE and 49.28% were establishments. Under category H, while the urban areas had higher proportion of establishment, the proportion of OAEs was more in rural areas. However, under category I, both in rural and urban areas the OAE proportion was more than establishment. . Within the activity category I, the category I2 had the proportion (58.93%) of enterprises followed by category I4 (39.68%). However, under category H, the highest proportion of enterprises was under category H2 (73.48%) followed by category H1 (73.48%).

3. Ownership of enterprises

Per 1000 distribution of enterprises by type of ownership is given in table 3. The ownership types have been broadly categorized as proprietary, partnership, cooperative society/SHG, limited company and others.

Table 3: Per 1000 distribution of Enterprises by type of ownership

Ownership Type	RURAL			URBAN			GOA		
	OAE	Est.	Total	OAE	Est.	Total	OAE	Est.	Total
Proprietary									
Male	847	819	840	798	767	786	824	786	812
Female	153	69	132	197	157	181	174	125	158
Partnership with members of							0		
Same household	0	61	15	0	38	15	0	46	15
Different household	0	0	0	4	16	9	2	10	5
Co-operative Society/SHG	0	48	12	0	11	4	0	24	8
Limited Company									
Private	0	2	0	0	10	4	0	7	2
Public	0	0	0	0	0	0	0	0	0
Others	0	1	0	0	2	1	0	1	0
All	**1000**	**1000**	**1000**	**1000**	**1000**	**1000**	**1000**	**1000**	**1000**

It is evident from table 3 that of the total 97% were proprietary enterprises and thus under the rest of the category the ownership was negligible. The proprietary ownership was dominated by males being 81.2% and female ownership being only 15.8%. While the male domination in proprietorship was common both in rural and urban areas, the proportion of women owning a proprietary enterprise was slightly higher in urban areas than rural. The trend was similar both in OAEs and establishments.

4. Social group of owner/managing partner

Per 1000 distribution of enterprises by social group of owner/managing partner (only for proprietary/partnership enterprises) is given in table 4. It may be observed from the table that 71.1% of the enterprises were owner by the social group (others) i.e. other than OBC, ST and SC. The OBC ownership was 23.6% followed by 4.2% ST and 1.1% SC. The ownership by 'others' category was higher in urban areas (77.9%) than rural areas (63.5%). Slightly higher proportion of ownership of STs (8%) and OBCs (28.3%) was observed in rural areas in comparison with urban areas.

Table 4: Per 1000 distribution of Enterprises by Social group of owner/managing partner (only for proprietary /partnership enterprises)

Social Group	RURAL			URBAN			TOTAL		
	OAE	Est.	Total	OAE	Est.	Total	OAE	Est.	Total
S.T.	89	49	80	3	17	9	49	28	42
S.C	2	8	3	29	0	18	15	3	11
OBC	290	259	283	260	98	195	276	154	236
Others	619	684	635	707	886	779	660	815	711
All	1000	1000	1000	1000	1000	1000	1000	1000	1000

As regards type of enterprises, the ownership under 'others' category had 81.5% 'establishments' while the proportion of OAEs was 66%. The ownership proportion of OAE was found higher in ST, SC and OBC categories than 'establishments'.

5. General Education Level of Owner/Managing Partner

The distribution of enterprises by general education level of owner/managing partner (only for proprietary and partnership enterprises) is given in table 5.

Table 5: Per 1000 distribution of Enterprises by General Education Level of owner/managing partner (only for proprietary and partnership enterprises)

Educational Level	RURAL			URBAN			TOTAL		
	OAE	Est.	Total	OAE	Est.	Total	OAE	Est.	Total
Not literate	52	47	51	73	28	55	62	35	53
No Formal Education	0	0	0	9	0	5	4	0	3
Below Primary	10	13	11	0	0	0	5	5	5
Primary	117	50	101	85	48	70	102	49	85
Middle	243	97	208	263	103	199	253	101	203
Secondary	487	485	487	398	370	387	446	411	434
Higher Secondary	53	73	58	55	192	110	54	150	85
Diploma/Certificate	1	17	4	16	40	26	8	32	16
Graduate	32	191	71	91	162	119	60	172	96
Post Graduate	5	26	10	9	56	28	7	46	20
ALL	**1000**	**1000**	**1000**	**1000**	**1000**	**1000**	**1000**	**1000**	**1000**

It may observed from table 5 that of the total 94.3% owner/managing partner were literate and only 5.3% were not literate. Among literate owners/managing partners, 73% had secondary or below level of education. There were 8.5% with higher secondary education, 9.6% graduates and 2% post graduates. It is interesting to note that the proportion of ownership with higher level of education was found in 'establishments' where 17.2% were

graduates, 15.0% higher secondary and 4.6% post graduates. The trend was similar both in rural and urban areas.

6. **Distribution of enterprises by type of location**

The distribution of enterprises by their type of location is given in table 6. The type of location has been classified as within household premises and outside household premises. The enterprises situated outside the household premises have been further classified in to with fixed premises and without fixed premises.

Table 6: 1000 distribution of Enterprises by type of Location

Type of Location	RURAL			URBAN			TOTAL		
	OAE	Est.	Total	OAE	Est.	Total	OAE	Est.	Total
Within Household Premises	171	83	149	271	79	193	218	80	172
Outside Household Premises									
A] With the Fixed Premises									
a) with permanent structure	514	459	500	441	527	476	480	502	488
b) with temporary structure	5	0	4	35	259	126	126	166	68
c) without any structure	257	421	299	248	134	202	253	237	248
B] Without Fixed Premises									
a) Mobile Market	26	0	19	2	1	1	14	1	10
b) Street Venders	26	37	29	3	0	2	15	13	15
All	**1000**	**1000**	**1000**	**1000**	**1000**	**1000**	**1000**	**1000**	**1000**

It is evident from table 6 that, of the total 82.8% of the enterprises were operating outside the household premises and 17.2% were operating within the household premises. Within in household premises the proportion of OAEs was higher than establishments both in rural and urban areas. Majority of the enterprises operating outside the household premises were with fixed premises and only small portion (2.5%) were without fixed premises comprising mobile market and street venders. In rural areas, the proportion of enterprises with fixed premises outside the household was higher in case of OAEs than establishments whereas the proportion of establishments was higher in urban areas.

7. **Proportion of enterprises registered under different Acts.**

The proportion of enterprises registered under different Acts is given in table 7. It may seen from the table that among all enterprises 89.5% were found to be registered under any Act and the proportion was higher in urban areas (96%) than rural areas (82.4%). If only non-

proprietary enterprises are taken in to consideration then it may be seen that 78% were registered under any Act, while in urban areas the proportion was 100% and in rural areas it was only 49.2%. As regards possession of PAN/TAN by the non-proprietary enterprises registered under any Act, it was observed that 50.3% were having PAN and 21.8% were having TAN. In urban areas the percentage of PAN holders in urban areas was 58.9% and TAN holders were 22%, but in rural areas 39.1% were having PAN and 21.6% TAN.

Table 7: Distribution of Enterprises registered under different Acts having PAN/TAN

Registration	RURAL	URBAN	TOTAL
Estimated number of Enterprises (all ownership typed combination)	16217	17966	34183
Among all Enterprises (Including proprietary) percent registered under any Act	82.4	96	89.5
Total number of Enterprises other than proprietary Enterprises	459	599	1057
Among all Enterprises other than proprietary percent registered under any Act	49.2	100	78
Among the non-proprietary Enterprises percent registered under any Act having			
a) PAN	39.1	58.9	50.3
b) TAN	21.6	22	21.8

8. **Distribution of enterprises registered under different Acts/Authorities**

Per 1000 distribution of enterprises registered under different Acts/Authorities is given in table 8.

Table 8: Per 1000 distribution of enterprises registered under different Acts/Authorities

Act's/Authorities	RURAL			URBAN			TOTAL		
	O	E	T	O	E	T	O	E	T
Not registered under any Act/Autho.	210	75	176	64	5	40	142	30	105
Registered under Companies Act	6	15	8	6	15	9	6	15	9
By other Acts/Agencies of registration (except Companies Act)									
a) Mun.Corp./Panchayat/Local Body	434	688	498	486	780	606	458	747	555
b) Shop and Establishment	78	73	77	13	27	19	47	44	46
c) Sales Tax Act	0	17	4	1	2	1	0	7	3
d) Motor Vehicle Act	296	482	343	284	173	239	290	284	288
e) Indian Vessels/Merchant Shipping	0	0	0	0	0	0	0	0	0
f) RBI/NABARD/IRDA/SEBI	0	0	0	0	0	0	0	0	0
g) Bar Council	2	0	1	3	10	6	2	7	4
h) Charter Accountant	0	0	0	4	7	5	2	5	3
i) NASSCOM	0	0	0	0	0	0	0	0	0
j) Dte. of Education/AICTE/NCTE	0	1	0	8	12	10	4	8	5

O: OAE E: Establishment T: Total

It may be seen from table 8 that 10.5% of the total enterprises were not registered under any Act or Authority and non-registration was higher in rural areas (17.6%) than urban areas (4%). It may also be observed that non-registration was more in OAEs (14.2%) than establishments (3%) and the trend was similar both in rural and urban areas. The enterprises registered under Companies Act was less than 1% of the total Maximum registration was observed with rural and urban local bodies (55.5%) followed by Motor Vehicle Act (28.8%).

9. Nature of problems faced by the enterprises

Per 1000 distribution of enterprises by nature of problems faced is given in table 9. It may be seen that 34.2% of the total enterprises had no specific problem and the proportion was higher in urban areas (40.6%) than rural areas (27.0%). While in urban areas the proportion of establishments having no specific problem was higher, in rural areas the proportion of OAEs with no specific problem was higher.

Table 9: Per 1000 distribution of Enterprises by nature of Problems faced

Problems Faced	RURAL			URBAN			TOTAL		
	O	E	T	O	E	T	O	E	T
No specific problem	302	176	270	382	442	406	339	346	342
Non-availability of Electricity	0	4	1	0	3	1	0	4	1
Power cut	13	28	16	16	18	43	35	22	30
Shortage of Capital	201	89	173	39	38	38	125	56	102
Marketing of Products	348	276	330	139	31	95	250	119	207
Local problems	32	46	36	33	29	31	33	35	33
Competition from Larger Unit	361	314	349	356	570	443	359	478	398
Non- availability of Labour	19	174	59	4	126	54	12	144	56
Fuel not available	13	5	11	13	26	19	13	19	15
Non-recovery of service charges	167	71	143	131	80	111	151	77	126
Others	95	395	171	178	268	215	134	314	194

O: OAE E: Establishment T: Total

As regards type of problem faced by the enterprises it may be seen that competition from larger units was the major problem (39.8%), followed by marketing (20.7%) etc. The problem due to competition was found higher in urban areas than rural areas. In urban areas 57.8% of establishments reported competition problem while in rural areas the proportion was 31.4%.

10. **Distribution of enterprises working on contract basis**

Per 1000 distribution of enterprises working on contract basis is given in table 10. It may be seen that negligible proportion of enterprises (less than 1%) were working on contract basis. However, the proportion was slightly higher in urban areas than rural areas.

Table 10: Per 1000 distribution of Enterprises working on contract basis

Enterprise Type	RURAL	URBAN	TOTAL
OAE	0	3	2
Establishment	6	14	11
All	1	8	5

11. **Distribution of enterprises receiving assistance from Government**

Per 1000 distribution of enterprise regarding receipt of assistance from Government is given in table 11. It may be noted that significant proportion (79.9%) of the enterprises have not received any type of assistance from the Government. 20.3% of the enterprises have received assistance from the Government in the form of loan. A very small proportion (0.02%) have received subsidy and 1.2% have received other type of assistance. There are no enterprises that have received support from the Government for marketing, training, machinery & equipment and procurement of raw material. Similar is the trend both in rural and urban areas.

Table 11: Per 1000 distribution of enterprises receiving assistance from Government

Type of assistance received	RURAL			URBAN			TOTAL		
	O	E	T	O	E	T	O	E	T
No assistance received	844	515	761	847	813	833	845	706	799
Loan	150	485	235	153	207	175	152	307	203
Subsidy	6	0	4	0	0	0	3	0	2
Machinery/Equipment	0	0	0	0	0	0	0	0	0
Training	0	0	0	0	0	0	0	0	0
Marketing	0	0	0	0	0	0	0	0	0
Procurement of raw material	0	0	0	0	0	0	0	0	0
Others	31	4	24	0	0	0	17	2	12

O: OAE E: Establishment T: Total

12. **Distribution of enterprises pursuing mixed activity**

Per 1000 distribution of enterprises pursuing mixed activity is given in table 12. It may be noted that while 63.6% of OAEs have pursued mixed activity, the proportion of enterprises pursing mixed activity was only 36.4%. It may also be noted that while the proportion of OAEs pursuing mixed activity was higher in rural areas, in case of establishments the proportion was higher in urban areas.

Table 12: Per 1000 distribution of enterprises pursuing mixed activity

Type of Enterprises	RURAL	URBAN	TOTAL
OAE	705	555	636
Establishment	295	445	364
All	1000	1000	1000